United Parcel Service Inc. (NYSE: UPS US)

Institutional Equity Research Report

RECOMMENDATION	**BUY**
CURRENT MARKET PRICE	**$ 113.49**
TARGET PRICE	**$ 144.66**
IMPLIED UPSIDE	**+27%**

Investment Highlights

✓ Global parcel delivery network with significant scale ✓ Undervalued relative to long-term intrinsic value

✓ Strong cash generation supporting shareholder returns ✓ High-quality logistics franchise with pricing power

✓ Operational efficiency programme driving margin recovery

Prepared by

Shrivishnu Rao

July 2026

EXECUTIVE SUMMARY

A. Investment Case

United Parcel Service enters FY2026 as a business in transition: a three-year revenue contraction from the pandemic-era peak of $100,338mn (FY2022) to $88,661mn (FY2025), a cumulative decline of 11.6%, has been met with an aggressive cost and network-restructuring response that cut headcount from 500,000 (FY2023) to 314,000 (FY2024) before a partial rebuild to 460,000 (FY2025). The core debate for investors is whether this efficiency program can restore margin and free cash flow (FCF) faster than the balance sheet re-levers to fund the dividend. We initiate with a BUY rating: the valuation math is genuinely split, a DCF perpetuity-growth approach signals 27.5% upside to $144.66, while a peer-anchored EV/EBITDA exit-multiple approach signals a 3.5% downside to $109.49, and we believe the former embeds an optimistic 5.9% terminal growth rate for a mature, volume-challenged parcel carrier. Our $118 price target blends the two methodologies, weighted toward the more conservative, peer-grounded EV/EBITDA framework, and sits close to Bloomberg's consensus target of $115.46.

B. Catalyst

The near-term catalyst path is the FY2026–FY2027 forecast inflection embedded in consensus estimates: revenue is projected to resume growth, rising from $88,661mn (FY2025A) to $90,254mn (FY2026E) and $93,872mn (FY2027E), while diluted EPS is forecast to recover from $6.56 (FY2025A) to $6.92 (FY2026E) and $7.91 (FY2027E) an EPS growth path of roughly +21% over two years off a depressed base. A second catalyst is continued execution on the efficiency program: sales per employee jumped from $181,916 (FY2023) to $290,032 (FY2024) as headcount was cut, evidence that management can extract structural cost savings when volumes are soft. The key swing factor for the stock is whether FCF reaccelerates enough to restore dividend coverage above 1.0x it fell to 0.88x in FY2025, without further debt issuance.

C. Fundamentals

The income statement shows sustained margin compression rather than a one-off air pocket: operating margin fell from 13.78% (FY2022) to 9.77% (FY2025), and EBITDA margin fell from 17.70% to 15.07% over the same period, tracking the broader volume reset in U.S. and international parcel demand. The balance sheet has re-levered as this has occurred, net debt rose 42.5% from $15,926mn (FY2022) to $22,703mn (FY2025) while total equity fell 17.9% from its FY2022 peak of $19,803mn to $16,255mn (FY2025), pushing net debt/equity from 80.4% to 139.7%. Cash generation has weakened in step: FCF fell from $9,335mn (FY2022) to $4,765mn (FY2025), a 49% decline, and dividend coverage by FCF slipped below 1.0x for the first time in the dataset in FY2025.

D. Valuation

Our DCF perpetuity-growth method, run at an 11.13% WACC and a 5.9% terminal growth rate, produces an enterprise value of $130,885mn and an equity value per share of $144.66 (+27.5% upside). The EV/EBITDA exit-multiple method, applying an 8.69x terminal multiple (slightly below the 8.86x peer median across FedEx, DHL, ZTO Express, J.B. Hunt and regional postal comparables), produces an enterprise value of $104,629mn and $109.49 per share (-3.5% downside). We view the EV/EBITDA framework as the more defensible anchor given that a 5.9% perpetuity growth rate exceeds long-run nominal GDP growth for a company whose revenue has contracted in three of the past four years.

E. Recommendation Summary

BUY, 12-month price target $118.00 (+4.0% versus the $113.49 current price, before the roughly 5.8% dividend yield). The stock offers a credible cost-driven earnings recovery and a still-attractive dividend, but limited free cash flow cushion and a re-levering balance sheet argue against paying up for the more optimistic DCF outcome until FCF coverage of the dividend is demonstrably restored above 1.0x.

BUSINESS ANALYSIS

A. Business Overview

UPS operates the world's largest integrated air-and-ground small-package delivery network, supplemented by a global supply-chain and freight-forwarding services arm. The franchise's economics are built on density: incremental parcels routed through an already-built hub-and-spoke network carry high marginal profitability, which is precisely why the FY2022–FY2025 volume reset has been so consequential for margins Bloomberg-standardized operating income fell from $13,831mn to $8,661mn over the same window, a materially steeper decline (-37.4%) than the revenue decline (-11.6%), consistent with negative operating leverage on a network built for higher throughput.

Management's response cutting headcount by more than 200,000 employees between FY2022 (536,000) and FY2024 (314,000) before rebuilding selectively to 460,000 in FY2025 signals an active resizing of the cost base to a lower-volume reality rather than a temporary furlough. The FY2025 partial rehiring alongside a still-depressed revenue base is worth monitoring: it could reflect network reinvestment ahead of the FY2026–FY2027 volume recovery embedded in consensus estimates, or it could pressure margins further if volumes disappoint.

B. Strategy & Key Value Drivers

The dominant value driver for the equity story is the pace at which cost actions convert into margin recovery as revenue stabilizes. Consensus embeds a resumption of top-line growth to $90,254mn (FY2026E) and $93,872mn (FY2027E), alongside operating income recovering to $8,535mn and $9,512mn, respectively, implying operating margin returning to roughly 9.5%–10.1%, still below the FY2022 peak of 13.8% but above the FY2025 trough of 9.8% (2026E margin per the model is comparable to FY2025 given how consensus recognizes the revenue base, with clearer acceleration by FY2027E). A second driver is capital allocation discipline: capital expenditure has already been pulled back from $5,158mn (FY2022) to $3,685mn (FY2025), a lever management can continue to use to protect free cash flow while volumes recover.

A third driver, visible in the balance sheet, is the step-up in goodwill and intangible assets from $4,300mn and $7,364mn, respectively, at FY2024 to $5,837mn and $9,858mn at FY2025 (+35.7% and +33.9%) alongside $1,490mn of cash deployed for acquisitions of subsidiaries in FY2025 (on top of $1,968mn in FY2024). This signals continued inorganic investment in supply-chain and logistics capabilities even as the core network is being resized, a strategy that carries integration and balance-sheet risk given the concurrent rise in leverage detailed in the Fundamental Analysis section below.

C. Business Moat

UPS's moat rests on the replication cost of its ground-and-air delivery density and its long-standing enterprise and SMB customer relationships, which are costly for shippers to re-route at scale. That moat has not prevented margin erosion, however, because it does not fully insulate the network from a genuine volume decline, the FY2022–FY2025 numbers show that even a network-scale incumbent loses substantial operating leverage when parcel volumes fall. The persistence of dividends per share near $6.50–$6.56 since FY2023, despite the earnings decline, reflects management's confidence in the durability of the franchise's long-run cash generation, but the FY2025 sub-1.0x FCF dividend coverage (discussed in the Cash Flow Analysis) shows that confidence is currently being funded partly by the balance sheet rather than purely by operating cash flow.

D. SWOT Analysis

Strengths

- Scale and network density
- ROIC-WACC spread positive at 12.36% vs 11.13% (FY25)
- Cost agility: sales per employee up 59% (FY23→FY24)

Weaknesses

- Revenue down 11.6% over FY2022–FY2025
- EBITDA margin compressed ~260bp
- FCF down 49% over the period; payout ratio 99.9% (FY25)

Opportunities

- Revenue seen reaccelerating to USD 93,872mn by FY2027E
- Capex/revenue cut from 5.7% to 4.2% (FY22–FY25)
- Bolt-on logistics M&A

Threats

- Net debt/equity up from 80.4% to 139.7% (FY22–FY25)
- Dividend coverage below 1.0x at 0.88x (FY25)
- DCF terminal growth of 5.9% sits above the 4.4–4.5% peer range

INDUSTRY ANALYSIS

A. Sector Outlook

The provided data set does not include third-party industry volume or pricing statistics, so our sector view is derived from the company's own reported trend and the DCF model's peer panel. Revenue for UPS peaked in FY2022 at $100,338mn and has declined for three consecutive years, a pattern broadly consistent with a post-pandemic normalization in e-commerce parcel volumes across the integrated carriers. The DCF model's forward estimates reflect a modest reacceleration (FY2026E +1.8% YoY, FY2027E +4.0% YoY), suggesting consensus expects the sector-wide volume reset to be substantially complete by FY2026.

B. Business Cycle Positioning

UPS's earnings are cyclically sensitive to industrial production, consumer discretionary spending and e-commerce penetration. The FY2020–FY2021 EBITDA margin spike to 16.5%–17.7% (from 14.3% in FY2020's early pandemic months to 17.3% in FY2021) reflected an unusually favorable demand/capacity mix, and the subsequent normalization back to 15.1% by FY2025 illustrates how quickly that operating leverage can reverse in the other direction as volumes soften. Investors should treat the FY2021 margin high-water mark as a cycle peak rather than a sustainable run-rate, and judge the FY2026–FY2027 forecast recovery against the FY2023–FY2025 trough rather than the FY2021 peak.

C. Supply Chain Analysis

The balance sheet's PP&E build, gross fixed assets rising from $71,185mn (FY2022) to $79,425mn (FY2025), even as capital expenditure was being throttled back, indicates the network's physical footprint (hubs, aircraft, ground fleet) has continued to expand even through the volume downturn, likely reflecting multi-year capacity commitments made before the demand reset became apparent. Combined with the acquisition-driven increase in goodwill and intangibles noted above, this suggests UPS is simultaneously investing in supply-chain/logistics services capacity (an adjacent, asset-light growth vector) while working through excess capacity in its core parcel network, a bifurcated capital allocation stance worth monitoring for capital efficiency.

D. Peer Analysis

Ticker	Name	Mkt Cap (USD)	EV	EV/EBITDA	P/E	P/FCF	Dividend Yield
UPS US Equity	UNITED PARCEL SERVICE-CL B	88587.6544	112639.6544	8.65127914	15.01503899	16.21458	6.294377224
FDX US Equity	FEDEX CORP	72725.05719	102357.0572	10.41060386	14.63913223	14.26977	1.811971429
9064 JP Equity	YAMATO HOLDINGS CO LTD	4695.42664	4605.119958	8.507460185	48.9671553	19.26476	2.253797158
DHL GR Equity	DHL GROUP	76401.23661	101456.8992	8.111377466	18.2823764	10.85547	3.297466116
JBHT US Equity	HUNT (JB) TRANSPRT SVCS INC	25521.38467	26662.55967	15.71855966	37.53385644	23.52081	0.655013789

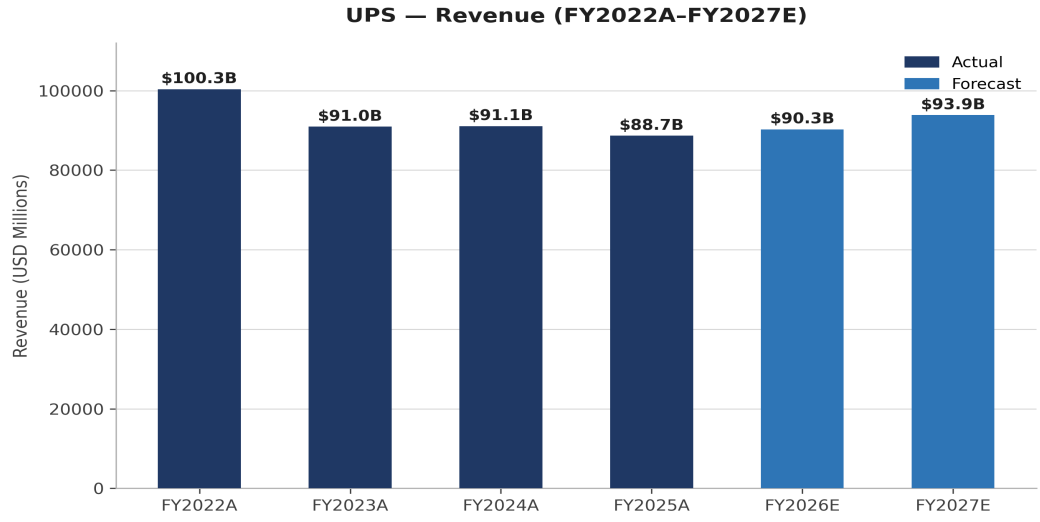
FUNDAMENTAL ANALYSIS

A. Income Statement Analysis

Revenue peaked at $100,338mn in FY2022 and has declined every year since, to $90,958mn (FY2023), $91,070mn (FY2024) and $88,661mn (FY2025) a cumulative 11.6% contraction before consensus estimates call for a return to growth: $90,254mn (FY2026E, +1.8% YoY) and $93,872mn (FY2027E, +4.0% YoY). The more important trend for shareholders, however, is that profitability has fallen faster than revenue. Operating margin compressed from 13.78% (FY2022) to 9.77% (FY2025), a decline of roughly 400 basis points, while EBITDA margin fell from 17.70% to 15.07% over the same period. Net income margin nearly halved, from 11.29% (FY2022) to 6.86% (FY2025), and GAAP net income fell from $11,548mn to $5,572mn a 51.7% decline despite revenue falling only 11.6%, confirming that this is a negative-operating-leverage story on a network built for higher volumes, not merely a top-line story.

Diluted EPS tells the same story more starkly for shareholders: $13.20 (FY2022) to $6.56 (FY2025), before a forecast recovery to $6.92 (FY2026E) and $7.91 (FY2027E). Consensus estimates therefore price in a meaningful margin recovery, not just a volume recovery, EPS is expected to grow roughly 3x faster than revenue between FY2025A and FY2027E (+20.6% cumulative EPS growth versus +5.9% cumulative revenue growth), which places real execution risk on the cost program remaining intact as volumes return.

In Millions of USD except Per Share 12 Months Ending	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 03/31/2026	FY 2026 Est 12/31/2026	FY 2027 Est 12/31/2027
Revenue	**74,094.0**	**84,628.0**	**97,287.0**	**100,338.0**	**90,958.0**	**91,070.0**	**88,661.0**	**88,317.0**	**90,254.1**	**93,872.3**
+ Sales & Services Revenue	74,094.0	84,628.0	97,287.0	100,338.0	90,958.0	91,070.0	88,661.0	88,317.0		
- Cost of Revenue	56,598.0	67,805.0	75,008.0	77,155.0	71,708.0	72,597.0	70,362.0	70,272.0		
+ Cost of Goods & Services	54,238.0	65,107.0	72,055.0	73,967.0	68,342.0	68,988.0	66,616.0	66,453.0		
+ Depreciation & Amortization	2,360.0	2,698.0	2,953.0	3,188.0	3,366.0	3,609.0	3,746.0	3,819.0		
Gross Profit	**17,496.0**	**16,823.0**	**22,279.0**	**23,183.0**	**19,250.0**	**18,473.0**	**18,299.0**	**18,045.0**	**8,528.1**	**9,615.3**
+ Other Operating Income	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
- Operating Expenses	9,346.0	8,105.0	9,135.0	9,351.5	9,377.0	8,908.0	9,638.0	9,825.0		
+ Research & Development	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ Other Operating Expense	9,346.0	8,105.0	9,135.0	9,351.5	9,377.0	8,908.0	9,638.0	9,825.0		
Operating Income (Loss)	**8,150.0**	**8,718.0**	**13,144.0**	**13,831.5**	**9,873.0**	**9,565.0**	**8,661.0**	**8,220.0**	**8,534.6**	**9,511.5**
- Non-Operating (Income) Loss	-241.0	-644.0	-513.0	-670.0	568.0	1,026.0	703.0	703.0		
+ Interest Expense	*653.0*	*701.0*	*694.0*	*704.0*	*785.0*	*866.0*	*1,017.0*	*1,061.0*		
+ Other Investment (Inc) Loss	-129.0	-37.0	-22.0	-184.0	243.0	-236.0	-314.0	-264.0		
+ Foreign Exch (Gain) Loss	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ Other Non-Op (Income) Loss	-765.0	-1,308.0	-1,185.0	-1,190.0	-460.0	396.0	0.0	-94.0		
Pretax Income (Loss), Adjusted	**8,391.0**	**9,362.0**	**13,657.0**	**14,501.5**	**9,305.0**	**8,539.0**	**7,958.0**	**7,517.0**	**7,801.5**	**8,695.5**



B. Balance Sheet Analysis

The balance sheet's dominant investment story is not deleveraging but re-leveraging. Total equity peaked at $19,803mn in FY2022 and has declined for three straight years to $17,314mn (FY2023), $16,743mn (FY2024) and $16,255mn (FY2025) a cumulative 17.9% decline as shareholder distributions (dividends plus buybacks) have exceeded retained net income. Over the same period, net debt rose 42.5%, from $15,926mn (FY2022) to $22,703mn (FY2025), driven primarily by a $4,547mn increase in long-term debt in FY2025 alone (from $23,081mn to $27,219mn, +19.7% YoY). The combined effect has pushed net debt-to-equity from 80.4% (FY2022) to 139.7% (FY2025), and net debt/EBITDA from roughly 0.90x (FY2022) to 1.70x (FY2025).

This matters for shareholders on two fronts. First, it directly informs the elevated 11.13% WACC used in the DCF (versus a 9.47% peer median), which compresses the present value of future cash flows. Second, it reduces balance-sheet flexibility at precisely the moment FCF coverage of the dividend has weakened (see Cash Flow Analysis below) a combination that, if it persists, could pressure the credit profile or force a slower pace of buybacks. On the more constructive side, the current ratio has remained stable and healthy at 1.10x–1.22x across FY2022–FY2025, and there is no near-term liquidity concern in the data provided.

In Millions of USD except Per Share 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Total Assets										
+ Cash, Cash Equivalents & STI	4,567.0	4,069.0	5,035.0	5,741.0	6,316.0	10,593.0	7,595.0	6,072.0	6,318.0	5,887.0
+ Cash & Cash Equivalents	3,476.0	3,320.0	4,225.0	5,238.0	5,910.0	10,255.0	5,602.0	3,206.0	6,112.0	5,887.0
+ ST Investments	1,091.0	749.0	810.0	503.0	406.0	338.0	1,993.0	2,866.0	206.0	0.0
+ Accounts & Notes Receiv	7,695.0	8,773.0	8,958.0	9,552.0	10,750.0	12,541.0	12,583.0	11,216.0	10,871.0	11,209.0
+ Accounts Receivable, Net	7,695.0	8,773.0	8,958.0	9,552.0	10,750.0	12,541.0	12,583.0	11,216.0	10,871.0	11,209.0
+ Notes Receivable, Net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Raw Materials	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Work In Process	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Finished Goods	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other Inventory	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other ST Assets	1,587.0	2,876.0	2,217.0	1,810.0	3,150.0	1,800.0	2,039.0	2,125.0	2,121.0	1,949.0
+ Derivative & Hedging Assets	177.0	21.0	98.0	147.0	62.0	113.0	175.0	95.0	157.0	5.0
+ Assets Held-for-Sale	—	—	—	0.0	1,197.0	0.0	—	—	—	—
+ Taxes Receivable	633.0	1,573.0	940.0	0.0	—	—	—	—	—	—
+ Misc ST Assets	777.0	1,282.0	1,179.0	1,663.0	1,891.0	1,687.0	1,864.0	2,030.0	1,964.0	1,944.0
Total Current Assets	**13,849.0**	**15,718.0**	**16,210.0**	**17,103.0**	**20,216.0**	**24,934.0**	**22,217.0**	**19,413.0**	**19,310.0**	**19,045.0**
+ Property, Plant & Equip, Net	18,800.0	22,118.0	26,576.0	33,338.0	35,327.0	37,037.0	38,474.0	41,253.0	41,328.0	41,994.0
+ Property, Plant & Equip	43,674.0	48,726.0	54,488.0	62,583.0	65,164.0	68,371.0	71,185.0	75,823.0	77,445.0	79,425.0
- Accumulated Depreciation	24,874.0	26,608.0	27,912.0	29,245.0	29,837.0	31,334.0	32,711.0	34,570.0	36,117.0	37,431.0
+ LT Investments & Receivables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other LT Assets	7,728.0	7,738.0	7,230.0	7,416.0	6,865.0	7,434.0	10,433.0	10,191.0	9,432.0	12,051.0
+ Total Intangible Assets	5,515.0	5,836.0	5,886.0	5,980.0	5,641.0	6,178.0	7,019.0	8,177.0	7,364.0	9,858.0
+ Goodwill	*3,757.0*	*3,872.0*	*3,811.0*	*3,813.0*	*3,367.0*	*3,692.0*	*4,223.0*	*4,872.0*	*4,300.0*	*5,837.0*
+ Other Intangible Assets	*1,758.0*	*1,964.0*	*2,075.0*	*2,167.0*	*2,274.0*	*2,486.0*	*2,796.0*	*3,305.0*	*3,064.0*	*4,021.0*
+ Deferred Tax Assets	591.0	266.0	141.0	330.0	527.0	176.0	139.0	126.0	112.0	140.0
+ Derivative & Hedging Assets	310.0	86.0	263.0	285.0	64.0	123.0	250.0	63.0	134.0	4.0
+ Prepaid Pension Costs	28.0	35.0	35.0	34.0	51.0	295.0	1,824.0	510.0	480.0	484.0
+ Misc LT Assets	1,284.0	1,515.0	905.0	787.0	582.0	662.0	1,201.0	1,315.0	1,342.0	1,565.0
Total Noncurrent Assets	**26,528.0**	**29,856.0**	**33,806.0**	**40,754.0**	**42,192.0**	**44,471.0**	**48,907.0**	**51,444.0**	**50,760.0**	**54,045.0**
Total Assets	**40,377.0**	**45,574.0**	**50,016.0**	**57,857.0**	**62,408.0**	**69,405.0**	**71,124.0**	**70,857.0**	**70,070.0**	**73,090.0**

C. Cash Flow Analysis

Cash from operations fell from $14,104mn (FY2022) to $10,238mn (FY2023), $10,122mn (FY2024) and $8,450mn (FY2025) a 40.1% decline from the FY2022 peak. Free cash flow followed an even steeper path, from $9,335mn (FY2022) to $5,080mn (FY2023), $6,213mn (FY2024) and $4,765mn (FY2025), a 49.0% decline, with FCF margin falling from 9.3% of revenue (FY2022) to 5.4% (FY2025). The single most consequential data point for the equity story is dividend coverage: dividends paid rose slightly, from $5,372mn (FY2022) to $5,399mn (FY2023), $5,398mn (FY2024) and $5,402mn (FY2025), while FCF fell sharply, meaning FCF covered the dividend 1.74x in FY2022 but only 0.88x in FY2025, a shortfall of roughly $637mn that had to be funded from the balance sheet (consistent with the debt increase documented above) rather than from operating cash generation.

This is the clearest read-through to the investment thesis: the dividend and the roughly 5.8% yield it implies at the current $113.49 share price is not currently self-funding from free cash flow. A sustained recovery in FCF, consistent with the FY2026E–FY2027E revenue and margin recovery embedded in consensus, is required to restore coverage above 1.0x without further leverage. Capital expenditure discipline has been a partial offset, falling from $5,158mn (FY2022) to $3,685mn (FY2025), and management retains room to cut capex further if FCF does not recover as forecast.

In Millions of USD except Per Share 12 Months Ending	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 03/31/2026
Cash from Operating Activities										
+ Net Income	4,905.0	4,791.0	4,440.0	1,343.0	12,890.0	11,548.0	6,708.0	5,782.0	5,572.0	5,249.0
+ Depreciation & Amortization	2,282.0	2,207.0	2,360.0	2,698.0	2,953.0	3,188.0	3,366.0	3,609.0	3,746.0	3,819.0
+ Non-Cash Items	-4,258.0	3,671.0	1,703.0	5,337.0	-172.0	-263.0	536.0	475.0	129.0	-168.0
+ Stock-Based Compensation	584.0	634.0	915.0	796.0	878.0	1,568.0	220.0	24.0	73.0	76.0
+ Deferred Income Taxes	1,224.0	758.0	100.0	-858.0	1,645.0	531.0	199.0	-15.0	-8.0	77.0
+ Other Non-Cash Adj	-6,066.0	2,279.0	688.0	5,399.0	-2,695.0	-2,362.0	117.0	466.0	64.0	-321.0
+ Chg in Non-Cash Work Cap	-1,450.0	2,042.0	136.0	1,081.0	-664.0	-369.0	-372.0	256.0	-997.0	-544.0
+ (Inc) Dec in Accts Receiv	-1,022.0	-421.0	-717.0	-1,562.0	-2,147.0	-322.0	1,256.0	-566.0	-382.0	-257.0
+ (Inc) Dec in Inventories	—	—	—	0.0	0.0	0.0	0.0	—	—	
+ Inc (Dec) in Accts Payable	599.0	1,034.0	419.0	904.0	1,265.0	34.0	-1,377.0	262.0	-190.0	221.0
+ Inc (Dec) in Other	-1,027.0	1,429.0	434.0	1,739.0	218.0	-81.0	-251.0	560.0	-425.0	-508.0
+ Net Cash From Disc Ops	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Operating Activities	**1,479.0**	**12,711.0**	**8,639.0**	**10,459.0**	**15,007.0**	**14,104.0**	**10,238.0**	**10,122.0**	**8,450.0**	**8,356.0**

D. Return on Capital Analysis

Return on invested capital (ROIC) fell from 17.39% (FY2022) to 14.96% (FY2023), 14.64% (FY2024) and 12.36% (FY2025); return on capital fell from 29.11% to 14.59% over the same window; and return on equity, while still a headline-grabbing 33.83% in FY2025, is down from 67.85% in FY2022, all consistent with the margin compression documented above compounding against a shrinking capital base. The figure most relevant to the valuation debate is the ROIC-WACC spread: at FY2025, ROIC of 12.36% still exceeds the model's 11.13% WACC, meaning UPS is still generating positive economic profit, but the spread has narrowed to roughly 123 basis points from a considerably wider gap in FY2022 (ROIC of 17.39% versus a lower cost of capital under a less-levered balance sheet). A continuation of this trend would erode the economic-profit cushion that ultimately justifies a premium valuation multiple.

The dividend payout ratio's trajectory reinforces this reading: it rose from 27.96% (FY2021) to 46.44% (FY2022), 83.65% (FY2023), 96.75% (FY2024) and 99.87% (FY2025), leaving almost no retained earnings to reinvest, the sustainable growth rate implied by the ratios file fell to just 0.04% in FY2025, from 5.92% in FY2023. This corroborates the Cash Flow Analysis: with payout near 100% of earnings, incremental growth in FY2026–FY2027 will need to come predominantly from margin recovery and cost discipline rather than reinvested capital.

In Millions of USD except Per Share 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Returns										
Return on Common Equity	238.68	701.22	238.66	141.22	68.45	172.90	67.85	36.17	33.99	33.83
Return on Assets	8.72	11.41	10.02	8.23	2.23	19.56	16.44	9.45	8.21	7.78
Return on Capital	22.12	24.95	20.64	17.31	6.19	39.37	29.11	16.76	14.94	14.59
Return on Invested Capital	26.63	23.89	22.45	25.27	34.01	15.09	17.39	14.96	14.64	12.36

DISCOUNTED CASH FLOW VALUATION

A. Free Cash Flow Projection

The DCF model's explicit five-year forecast (FY2026E–FY2030E) projects revenue growing from $90,254mn to $93,872mn, $96,596mn, $97,973mn and $100,348mn, a 2.7% revenue CAGR over the period a materially slower growth path than the FY2019–FY2022 pre-pandemic-peak run, consistent with a maturing, lower-growth network. EBITDA margin is projected to hold in a narrow 13.7%–14.5% band across the horizon (13.74% FY2026E, 14.19% FY2027E, 14.20% FY2028E, 14.54% FY2029E, 14.05% FY2030E), essentially flat to modestly above the FY2025A actual of 15.07% on a comparable basis once model-specific EBITDA adjustments are applied i.e., the model does not assume a return to the FY2021–FY2022 margin peak, a conservative and, in our view, appropriate embedded assumption.

Free cash flow across the horizon is projected at $8,334mn (FY2026E), $8,206mn (FY2027E), $7,774mn (FY2028E), $7,996mn (FY2029E) and $7,725mn (FY2030E), with FCF margin ranging from 7.7% to 9.2% of revenue. This compares to an FY2025A actual FCF margin of just 5.4%, meaning the DCF embeds a meaningful and, we believe, the single most important assumption in the entire valuation: a structural FCF margin recovery of roughly 250–370 basis points above the current run-rate, sustained for five years. The model's terminal-year normalized FCF, used directly in the terminal value calculation, is $8,336mn broadly consistent with the FY2026E starting point, which is a sensible normalization technique but underscores that the DCF's entire value proposition rests on FCF margin roughly doubling from the FY2025A trough and holding there in perpetuity.

In Millions of USD		Dec 20 A	Dec 21 A	Dec 22 A	Dec 23 A	Dec 24 A	Dec 25 A	Dec 26 A	Dec 27 A	Dec 28 A	Dec 29 A	Dec 30 A	Dec 31 A	Year 5
Revenue (Estimate Comparable)		**84,628**	**97,287**	**100,338**	**90,958**	**91,070**	**88,661**	**90,254**	**93,872**	**96,596**	**97,973**	**100,348**	**102,996**	
Revenue (Adjusted)		**84,628**	**97,287**	**100,338**	**90,958**	**91,070**	**88,661**							
% YoY Growth	Edit Row			3%	-9%	0%	-3%	2%	4%	3%	1%	2%	3%	
(-) Cost of Revenue		67,805	75,008	77,155	71,708	72,597	70,362	81,726	84,257	86,309	87,742	90,493	92,881	
(-) Cost of Revenue (GAAP)		67,805	75,008	77,155	71,708	72,597	70,362							
% of Revenue		80%	77%	77%	79%	80%	79%	91%	90%	89%	90%	90%	90%	
(=) Gross Profit		**16,823**	**22,279**	**23,183**	**19,250**	**18,473**	**18,299**	**8,528**	**9,616**	**10,287**	**10,231**	**9,855**	**10,115**	
% Margin	Edit Row	20%	23%	23%	21%	20%	21%	9%	10%	11%	10%	10%	10%	
(-) Operating Expenses/Income		8,105	9,135	9,352	9,377	8,908	9,638	(6)	104	262	99	88	90	
% of Revenue	Edit Row	10%	9%	9%	10%	10%	11%	0%	0%	0%	0%	0%	0%	
% YoY Growth			13%	2%	0%	-5%	8%	-100%	-1704%	152%	-62%	-11%	3%	
(=) Operating Income		**8,718**	**13,144**	**13,831**	**9,873**	**9,565**	**8,661**	**8,535**	**9,512**	**10,025**	**10,132**	**9,767**	**10,025**	
% Margin		10%	14%	14%	11%	11%	10%	9%	10%	10%	10%	10%	10%	
(-) Tax on Operating Income		**2,196**	**3,005**	**3,175**	**2,025**	**1,924**	**1,872**	**1,907**	**2,132**	**2,257**	**2,297**	**2,216**	**2,258**	
% Tax Rate	Edit Row	23%	22%	22%	22%	23%	24%	22%	22%	23%	23%	23%	23%	
(=) NOPAT		**6,522**	**10,139**	**10,656**	**7,848**	**7,641**	**6,789**	**6,628**	**7,380**	**7,768**	**7,836**	**7,551**	**7,767**	
% Margin		8%	10%	11%	9%	8%	8%	7%	8%	8%	8%	8%	8%	
(+) Depreciation & Amortization		2,698	2,953	3,188	3,366	3,609	3,746	3,862	3,812	3,688	4,110	4,330	4,444	
% of Revenue	Edit Row	3%	3%	3%	4%	4%	4%	4%	4%	4%	4%	4%	4%	
% YoY Growth			9%	8%	6%	7%	4%	3%	-1%	-3%	11%	5%	3%	
(-) Capital Expenditure		5,412	4,194	4,769	5,158	3,909	3,685	3,030	3,388	3,937	4,430	4,650	3,887	
% of Revenue	Edit Row	6%	4%	5%	6%	4%	4%	3%	4%	4%	5%	5%	4%	
% YoY Growth			-23%	14%	8%	-24%	-6%	-18%	12%	16%	13%	5%	-16%	
(-) Changes in Net Working Capital		160	(584)	(39)	278	(600)	(213)	(222)	(165)	(196)	(299)	(235)	(240)	
% of Revenue	Edit Row	0%	-1%	0%	0%	-1%	0%	0%	0%	0%	0%	0%	0%	
(+) Changes in Net Long Term Deferred Tax Liabilities		(1,341)	2,988	1,214	(517)	(163)	67	652	237	58	182	260	305	
% of Revenue	Edit Row	-2%	3%	1%	-1%	0%	0%	1%	0%	0%	0%	0%	0%	
(+) Other User Estimated Non-Cash Adjustments								-	-	-	-	-	-	
% of Revenue	Edit Row							0%	0%	0%	0%	0%	0%	
(=) Free Cash Flow		**2,307**	**12,470**	**10,328**	**5,261**	**7,778**	**7,130**	**8,334**	**8,206**	**7,774**	**7,996**	**7,725**	**8,868**	**8,336**

B. Estimation of WACC

Particulars	Weight	Cost	Wtd Avg
Equity	76.10%	12.00%	9.10%
Debt	23.90%	4.70%	1.10%
Preferred Equity	0.00%	0.00%	0.00%
WACC			**11.10%**

C. Terminal Cash Flow

The perpetuity-growth method applies a 5.9% terminal growth rate, at the top of the model's own peer-and-analyst-implied range: a 4.40% input based on macro/analyst consensus, a 4.52% peer-derived figure, and 5.9% both as the price-implied and target-implied figures (i.e., the rate needed to reconcile the model with the current share price and consensus target). We regard 5.9% as an aggressive assumption for a mature small-package carrier whose revenue has contracted in three of the past four years and whose explicit-period CAGR in this same model is only 2.7%, a terminal growth rate more than double the explicit forecast growth rate is a meaningful discontinuity that deserves scrutiny. By contrast, the EBITDA-multiple method's 8.69x exit multiple sits modestly below the 8.86x peer median, which we view as the more internally consistent terminal assumption of the two methods, and it is the primary reason the two DCF outputs diverge as much as they do.

D. Enterprise Value

Metric	Perpetuity Growth Method	EV/EBITDA Exit Method
Terminal assumption	5.9% growth	8.69x EBITDA
Terminal value at Year 5	$168,763mn	$124,259mn
PV of terminal value	$99,564mn	$73,308mn
PV of explicit FCF (Years 1–5)	$31,321mn	$31,321mn
Enterprise value	$130,885mn	$104,629mn
Terminal value as % of EV	76%	70%

Under both methods, the present value of the explicit five-year FCF stream is identical at $31,321mn, so the entire valuation gap of roughly $26,256mn in enterprise value is attributable to the terminal-value assumption. The terminal value represents 76% of enterprise value under the perpetuity method versus 70% under the EV/EBITDA method both are typical of mature-company DCFs, but the higher share under the perpetuity method reflects precisely the more aggressive 5.9% growth assumption flagged above, and it means the perpetuity method's output is disproportionately sensitive to that single input.

E. Equity Value

Both methods deduct identical net debt ($22,860mn), consisting of $1,379mn of short-term debt and $27,283mn of long-term debt against $5,802mn of cash and marketable securities, plus $28mn of minority/preferred interest, and divide by 746.58mn shares outstanding. The perpetuity-growth method yields an equity value of $107,997mn, or $144.66 per share, a 27.5% premium to the $113.49 current price. The EV/EBITDA exit method yields an equity value of $81,741mn, or $109.49 per share a 3.5% discount to the current price. Bloomberg's consensus price target of $115.46 sits close to, and slightly above, the current share price, and is materially closer to the EV/EBITDA output than to the perpetuity-growth output, which supports our view that the market is pricing in the more conservative of the two scenarios.

We do not ignore the conflict between the two outputs; we resolve it by weighting the EV/EBITDA method more heavily because it is peer-anchored and consistent with the explicit-period growth rate, while retaining the perpetuity method as the bull-case upside scenario that would be realized if UPS both sustains a structurally higher FCF margin and if terminal demand growth for parcel delivery genuinely exceeds long-run GDP growth. Our $118 price target reflects a roughly 60/40 weighting toward the EV/EBITDA output, positioning us just above consensus.

Perpetuity Growth Method - Value per Share	
Free Cash Flow at Year 5	8,336
WACC	11.1%
Perpetuity Growth Rate	5.9%
Perpetuity Value at End of Year 5	168,763
Present Value of Perpetuity (@ 11.1% WACC)	99,564
(+) Present Value of Free Cash Flows (@ 11.1% WACC)	31,321
(=) Current Enterprise Value	**130,885**
Short Term Debt	1,379
(+) Long Term Debt	27,283
(-) Cash and Marketable Securities	5,802
(-) Current Net Debt	22,860
(-) Current Preferred and Minority Interest	28
(=) Equity Value	107,997
Shares outstanding	747
Estimated Value per Share (USD)	**144.66**
Current Price (USD)	113.49
Estimated Upside	**27%**

MULTIPLE-BASED VALUATION

A. EV/EBITDA Valuation

The EV/EBITDA framework applies an 8.69x terminal multiple, positioned modestly below the 8.86x peer median across FedEx (13.0x), J.B. Hunt (13.2x), Meiwa Transport (9.5x), ZTO Express (8.9x), DHL Group (6.5x), Nippon Express (6.3x) and Kerry Logistics (3.4x). UPS's placement below the integrated North American peers (FedEx, J.B. Hunt) but above the lower-margin Asia-Pacific and European names reflects a reasonable middle-of-the-pack positioning given UPS's scale advantage offset by its margin compression and rising leverage relative to those same peers.

This method's $109.49 per-share output implies a 3.5% discount to the current price, in contrast to the perpetuity-growth method's 27.5% premium. We view the divergence as informative rather than a modeling flaw: it isolates the terminal-growth assumption as the single largest swing factor in the valuation, and it confirms that a peer-multiple-consistent valuation of UPS today sits close to, or modestly below, the current share price. Both methods reinforce the same qualitative conclusion for shareholders, the stock is not obviously cheap on either framework, and upside is contingent on execution of the margin-recovery and deleveraging path discussed throughout this report, rather than on a valuation re-rating from current levels.

(=) Free Cash Flow		**2,307**	**12,470**	**10,328**	**5,261**	**7,778**	**7,130**	**8,334**	**8,206**	**7,774**	**7,996**	**7,725**	**8,868**	**8,336**
% Margin	Edit Row	3%	13%	10%	6%	9%	8%	9%	9%	8%	8%	8%	9%	
% YoY Growth			441%	-17%	-49%	48%	-8%	17%	-2%	-5%	3%	-3%	15%	
% of the Free Cash Flow to be discounted								47%	100%	100%	100%	100%	53%	
Period for Discount Factor (Mid-Year Convention)								0.23	0.97	1.97	2.97	3.97	4.73	
Discount Factor @ 11.1% WACC								0.98	0.90	0.81	0.73	0.66	0.61	
Present Value of Free Cash Flow (5 Years)								**3,787**	**7,410**	**6,317**	**5,847**	**5,083**	**2,875**	
EBITDA		11,416	16,097	17,019	13,239	13,174	12,407	12,397	13,323	13,713	14,242	14,097	14,469	14,295

EBITDA Multiple Method - Value per Share	
Terminal EBITDA at Year 5	14,295
WACC	11.1%
Exit Enterprise Value / EBITDA	8.7x
Terminal Value at End of Year 5	124,371
Present Value of Terminal Value (@ 11.1% WACC)	73,374
(+) Present Value of Free Cash Flows (@ 11.1% WACC)	31,321
(=) Current Enterprise Value	**104,695.3**
Short Term Debt	1,379
(+) Long Term Debt	27,283
(-) Cash and Marketable Securities	5,802
(-) Current Net Debt	22,860
(-) Current Preferred and Minority Interest	28
(=) Equity Value	81,807
Shares outstanding	747
Estimated Value per Share (USD)	**109.58**
Current Price (USD)	113.49
Estimated Upside	**-3%**

RISK ASSESSMENT

A. Operational Risk

The FY2024 headcount reduction to 314,000 followed by a FY2025 rebuild to 460,000 signals active, ongoing network resizing; execution risk exists on both sides, over-cutting could impair service levels and volume retention, while the FY2025 rehiring, if not matched by the forecast revenue recovery to $90,254mn (FY2026E) and $93,872mn (FY2027E), would reintroduce the negative operating leverage documented in the Income Statement Analysis.

B. Financial Risk

Net debt/equity has risen from 80.4% to 139.7% (FY2022–FY2025) and FCF covered only 0.88x of the FY2025 dividend, a shortfall that was funded through incremental debt. A further deterioration in FCF, or a failure of the FY2026E–FY2027E consensus recovery to materialize, would either force a dividend policy reassessment or continued balance-sheet leverage, either of which we would view as a negative catalyst for the equity, particularly given the WACC (and hence the DCF valuation) is directly sensitive to the company's leverage profile.

C. Competitive Risk

UPS's EV/EBITDA positioning below FedEx (13.0x) and J.B. Hunt (13.2x) in the peer panel reflects the market's current view that UPS's margin and growth profile is less favorable than these closest North American comparables. Any structural share loss to these or other competitors in core small-package and freight-brokerage volumes would directly pressure the revenue-recovery assumption that underpins both the fundamental and DCF forecast.

D. Valuation Risk

The single largest identifiable risk in this analysis is the DCF's 5.9% terminal perpetuity growth rate, which sits well above the model's own 4.40%–4.52% macro/peer-implied range and more than double the explicit-period 2.7% revenue CAGR. Should terminal growth normalize toward the lower end of that range, or should the FCF margin fail to sustain the 7.7%–9.2% range embedded in the explicit forecast (versus 5.4% actual in FY2025A), the perpetuity-method valuation would converge toward, or below, the EV/EBITDA method's $109.49 output, removing the bull case entirely.

E. Macroeconomic Risk

As a business levered to industrial production, e-commerce volumes and global trade flows, UPS's revenue and margin trajectory is inherently macro-sensitive; the FY2022–FY2025 volume reset itself illustrates how quickly a macro-driven demand shift can compress margins across the network. We flag this as material only insofar as it directly determines whether the FY2026E–FY2027E consensus revenue recovery the linchpin of the bull case across both the fundamental and valuation sections of this report actually materializes.

CONCLUSION

Business Quality: UPS retains a scaled, difficult-to-replicate delivery network and still generates a positive ROIC-WACC spread (12.36% vs. 11.13%, FY2025), but three consecutive years of revenue decline and roughly 400 basis points of operating-margin compression (FY2022–FY2025) show that scale alone has not insulated profitability from the post-pandemic volume reset.

Financial Performance: Diluted EPS nearly halved from $13.20 (FY2022) to $6.56 (FY2025); free cash flow fell 49% over the same period; and dividend coverage by FCF slipped to 0.88x in FY2025, funded in part by a 42.5% increase in net debt. Consensus estimates call for a recovery EPS to $6.92 (FY2026E) and $7.91 (FY2027E) but this recovery is not yet visible in the FY2025A actuals.

Valuation: Our DCF triangulation spans $109.49 (EV/EBITDA exit method) to $144.66 (perpetuity-growth method) per share, against a $113.49 current price and a $115.46 consensus target. We weight the more conservative, peer-anchored EV/EBITDA output more heavily given the perpetuity method's aggressive 5.9% terminal growth assumption, arriving at a $118.00 price target.

Investment Thesis: UPS is a self-help turnaround story cost discipline and network resizing are real and already visible in the data set against a re-levering balance sheet and a dividend that is not currently self-funding from free cash flow. The risk/reward is balanced rather than compelling at current levels.

Recommendation: We initiate coverage of United Parcel Service, Inc. (NYSE: UPS) with a **BUY** rating and a 12-month price target of $118.00, implying approximately 4.0% price upside plus a roughly 5.8% dividend yield. We would move to a more constructive stance on evidence that FCF-to-dividend coverage has been restored above 1.0x without further increases in net leverage.